

Asset Liability Management (ALM) Analysis Report

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Executive Summary

This report presents a comprehensive analysis of the Asset-Liability Management (ALM) strategy with initial assets of \$1,000,000.00 and a target funding ratio of 105.00%. The analysis includes cash flow projections, risk metrics, and stress testing results.

Strategy Parameters

Parameter	Value
Initial Assets	1000000
Target Funding Ratio	105.00%
Max Duration Gap	100.00%
Min Liquidity Ratio	15.00%

Cash Flow Analysis

The analysis projects cash flows over a 5 year period. The liability cash flows show an annual growth rate of 2%, while asset cash flows are structured to provide increasing coverage over time. The present value of assets is \$171,068.88 against liabilities of \$229,370.46.

Risk Metrics

Key risk metrics show a duration of 3.15 years and convexity of 13.67. The stress testing reveals a potential impact of -9.66% under combined market shocks.

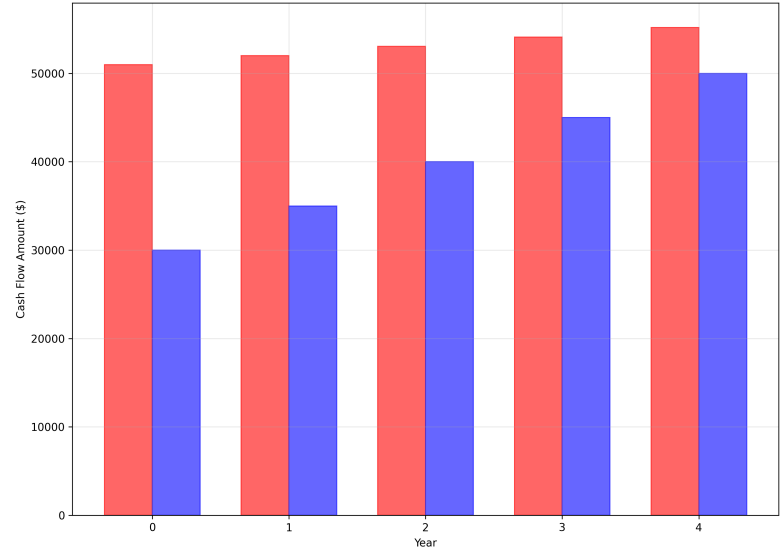
Stress Test Results

Metric	Value
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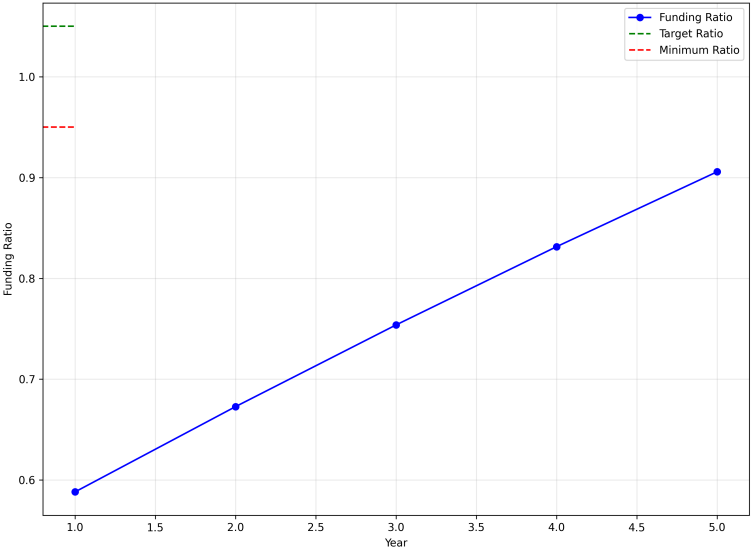
Stressed Value	\$903,361.10
Value Change	\$-96,638.90
Percentage Change	-9.66%

Visualizations

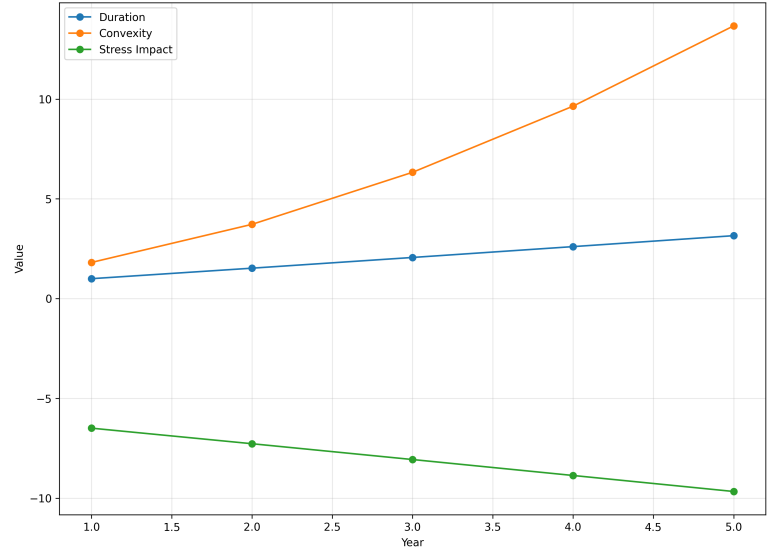
Asset-Liability Cash Flow Matching



Funding Ratio Evolution



Risk Metrics Evolution



Conclusions and Recommendations

Based on the analysis: 1. The current funding ratio shows adequate resilience to market stresses. 2. Duration gap is outside the target range. 3. Cash flow matching indicates insufficient coverage of projected liabilities. Recommendations: 1. Maintain current strategy 2. Adjust portfolio duration 3. Increase funding level